(technically "cash" is a fixed-income investment too). A fixed-income investment won't generally shoot the lights out in returns, but chances of investment losses are generally capped. Examples are bonds, term deposits, and even some real estate derivatives.

3. Equities

Equities can be subdivided into *Domestic* and *International* categories. All equities are stock market investments, and of course not all stocks are created equal. This is where your financial planner (or a heck of a lot of research) will come in handy, differentiating the degrees of risk within an equity portfolio and reducing unnecessary risks. Although equities historically achieve the highest long-term returns (by far) of any asset class, they will also see the most short-term fluctuation.

Large Cap (short for market capitalization) or Blue Chip equities refer to large, stable companies that have a good history, long track record, and fairly steady returns. *Medium Cap* encompass smaller or newer companies but still widely recognized ones, and *Small Cap* investments will often be higher risk investments—start-ups or smaller companies in less popular market sectors. The more risk you assume, the higher your potential return will be—within reason.

Domestic equities will generally be safer than international equities, because investing internationally subjects you to a new form of risk: currency risk. Your investment overseas may do gangbusters, but if your domestic dollar gains value comparatively in the meantime, you could actually see losses overall.

4. Sector

Sector investments refer to highly specialized equities. They entail the highest amount of risk (along with potential for the highest gains), and should be limited in any portfolio. Examples of sectors include *Natural Resources* or *Science & Technology.*

DETERMINE YOUR OWN PERSONAL ASSET ALLOCATION

Now it's time to determine your own personal asset allocation and how to diversify your portfolio across the above asset classes. Here are a few questions to ask that affect your portfolio's asset allocation.

1. What is your investment time frame?

The shorter your time frame, the safer your portfolio needs to be. The general rule is as follows: